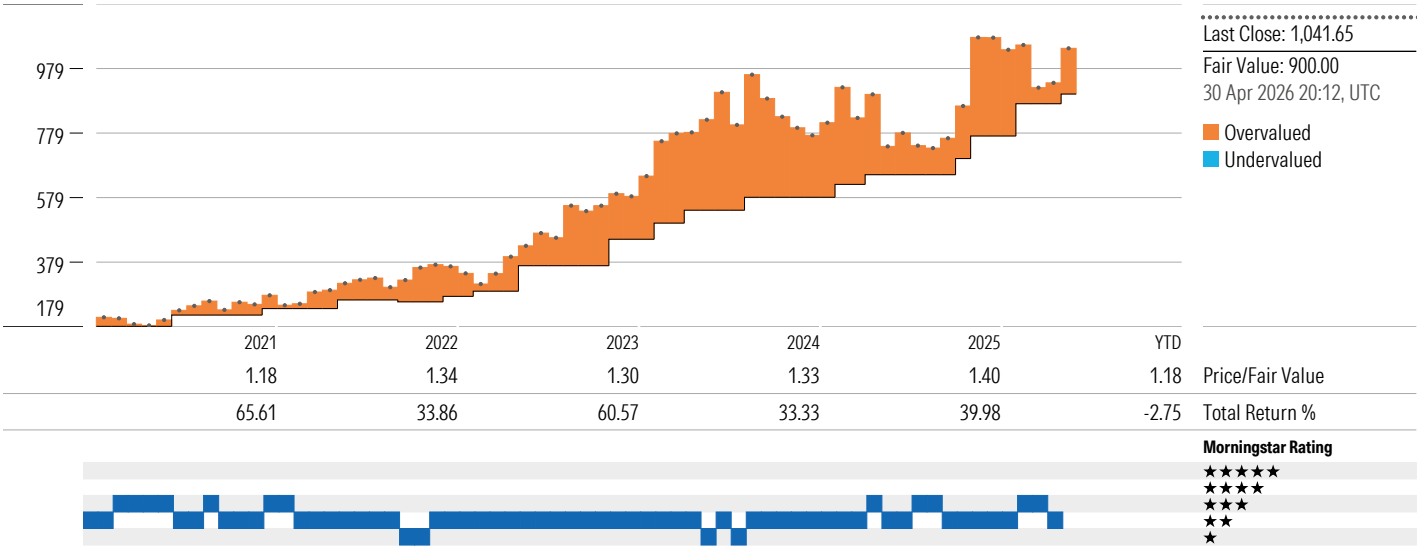
Eli Lilly and Co LLY ★★ 22 May 2026 21:44, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
1,041.65 USD 21 May 2026	900.00 USD 1 May 2026 01:12, UTC	1.18	949.70 USD Bil 22 May 2026	Wide	Large Growth	High	Exemplary	22 May 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.18	1.34	1.30	1.33	1.40	1.18
Total Return %	65.61	33.86	60.57	33.33	39.98	-2.75

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 21 May 2026. Last Close as of 21 May 2026. Fair Value as of 30 Apr 2026 20:12, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Eli Lilly Earnings: Mounjaro/Zepbound's Massive Volume Growth More Than Counters Price Pressure

Analyst Note Karen Andersen, CFA, Director, 30 Apr 2026

Eli Lilly reported 56% revenue growth and 156% non-GAAP EPS growth in the first quarter, and management raised full-year revenue guidance by $2 billion to a range of $82 billion-$85 billion, implying 28% growth at the midpoint. Shares rose 10% intraday on April 30.

Why it matters: Given the significant price step down in cash pay markets for obesity drug Zepbound in the US starting in late 2025 and diabetes drug Mounjaro's China launch, there was some uncertainty about how well market volume growth and share gains would counter that pressure.

- With a 65% increase in global volumes across Lilly's portfolio, the 13% price headwind had a minimal effect on the gross margin, and revenue grew fast enough to improve the operating margin.
- Foundayo's April 2026 obesity launch isn't reflected in first-quarter numbers, but management commentary was encouraging and highlighted the upcoming filing in diabetes later this quarter and rapid expansion of commercial and Medicare coverage over the next few months.

The bottom line: We're raising our fair value estimate for wide-moat Lilly to $900 from $870 after including higher near-term growth for Mounjaro/Zepbound and operating leverage, partly countered by our decision to keep gross margins below the high level in 2025 (83%) throughout our forecast.

- While Lilly commented that US Zepbound prices are relatively stable following the cash and government channel price reset, we're still watching prescription trends for evidence that

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Sector
Healthcare

Industry
Drug Manufacturers - General

Business Description

Eli Lilly is a drug firm with a focus on neuroscience, cardiometabolic, cancer, and immunology. Lilly's key products include Verzenio and Jaypirca for cancer; Mounjaro, Zepbound, Foundayo, Jardiance, Trulicity, Humalog, and Humulin for cardiometabolic; and Taltz and Olumiant for immunology.

commercial (private insurance) prices will also begin to trend down toward these new benchmarks.

- That said, Zepbound approvals in adjacent indications (like sleep apnea) and tying its use to other Lilly drugs (like the Taltz/Zepbound combination in psoriasis) could help maintain stronger overall US pricing and make it more difficult for competitors to steal commercial share.

Business Strategy & Outlook Karen Andersen, CFA, Director, 30 Apr 2026

Eli Lilly's innovative culture and strong financial commitment to developing the next generation of drugs set the company apart from its peers and fuel its long-term growth. Lilly holds industry-leading growth potential as it is launching several new blockbusters and patent losses are fading.

Lilly's internal pipeline is well positioned to mitigate the patent losses during the next decade. The company tends to spend a low- to mid-20s percentage of its sales on financing the development efforts of new drugs, much higher than the high-teens industry average. The robust pipeline is a result of Lilly's strong commitment to research. We believe cardiometabolic drugs tirzepatide (approved as Mounjaro in diabetes and Zepbound in obesity) and Foundayo (approved in the US as an oral obesity therapy in April 2026) hold the highest sales potential of Lilly's currently launched drugs, and tirzepatide alone was already 56% of Lilly's total sales in 2025. Lilly also has a solid portfolio of oncology therapies led by breast cancer drug Verzenio and including newer therapies like Jaypirca and Inluriyo. Alzheimer's drug Kisunla could form a foundation for further expansion in neurology.

While Novo Nordisk was first to launch a GLP-1 therapy into the obesity market, Lilly's Mounjaro/Zepbound has quickly gained share in both diabetes and obesity, due to its higher efficacy in trials (including a head-to-head study). Overall, we see a $200 billion market potential for GLP-1 therapies by 2035. We think Lilly will hold more than 50% share for the foreseeable future.

The company is driving margin gains with the strong sales growth. Through operating efficacy gains from top-line growth, Lilly expanded operating margins into the mid-40s in 2025. It expects to increase gross margins through productivity initiatives and greater capacity utilization in the long run, although obesity market pricing pressure, royalties to Chugai for orforglipron and a growing late-stage pipeline are likely to limit further upside. Overall, we view the strong traction of recently launched high-margin drugs in several indications as supporting strong double-digit growth for the rest of the decade.

Bulls Say Karen Andersen, CFA, Director, 30 Apr 2026

- Lilly's strong leadership in weight-loss drugs should drive industry-leading growth, given its approved drugs and well-positioned next-generation weight-loss drugs in the pipeline.
- Lilly is following its maturing cancer drug Verzenio with newer oncology therapies Inluriyo and Jaypirca, maintaining strong oncology growth potential.
- Lilly has launched a new Alzheimer's drug (Kisunla) that could become a major blockbuster, especially since few treatment options exist for the disease.

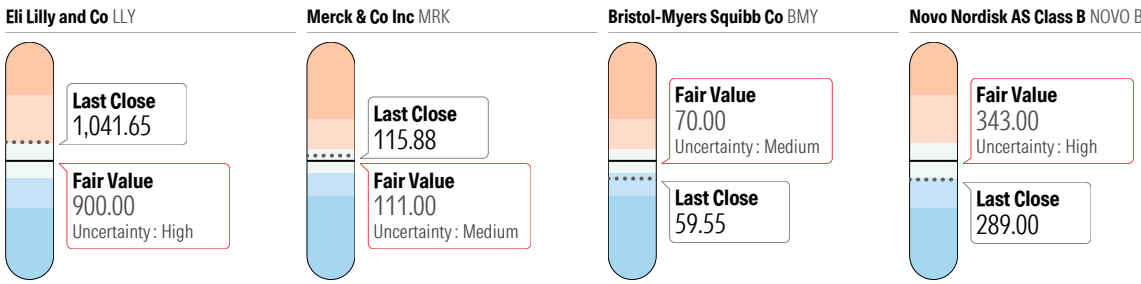
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Competitors



	Eli Lilly and Co LLY	Merck & Co Inc MRK	Bristol-Myers Squibb Co BMY	Novo Nordisk AS Class B NOVO B
Economic Moat	Wide	Wide	Wide	Wide
Currency	USD	USD	USD	DKK
Fair Value	900.00 22 May 2026 16:44, UTC	111.00 22 May 2026 16:44, UTC	70.00 22 May 2026 16:45, UTC	343.00 21 May 2026 22:10, UTC
1-Star Price	1,395.00	149.85	94.50	531.65
5-Star Price	540.00	77.70	49.00	205.80
Assessment	Overvalued 22 May 2026	Fairly Valued 22 May 2026	Undervalued 22 May 2026	Undervalued 22 May 2026
Morningstar Rating	★★22 May 2026 05:00, UTC	★★★22 May 2026 05:00, UTC	★★★★22 May 2026 05:00, UTC	★★★★21 May 2026 05:00, UTC
Analyst	Karen Andersen, Director	Karen Andersen, Director	Karen Andersen, Director	Karen Andersen, Director
Capital Allocation	Exemplary	Standard	Exemplary	Exemplary
Price/Fair Value	1.18	1.10	0.85	0.83
Price/Sales	13.24	4.64	2.50	3.86
Price/Book	30.50	6.59	6.05	6.21
Price/Earning	37.83	34.38	16.70	10.37
Dividend Yield	0.61%	2.71%	4.20%	4.12%
Market Cap	949.70 Bil	302.33 Bil	121.44 Bil	1,280.79 Bil
52-Week Range	623.78—1,133.95	75.40—125.14	42.52—62.89	224.25—533.40
Investment Style	Large Growth	Large Value	Large Value	Large Blend

Bears Say Karen Andersen, CFA, Director, 30 Apr 2026

- The risks to success for Kisunla remain high because of bottlenecks in patient diagnosis, required scans and monitoring, and competition.
- Several of the company's next-generation cardiometabolic drugs could lead to cannibalization of current approved Lilly drugs.
- Competition to weight-loss drug Zepbound could significantly increase over the next three years from established competitor Novo Nordisk as well as new entrants.

Economic Moat Karen Andersen, CFA, Director, 30 Apr 2026

Patents, economies of scale, and a powerful distribution network support Eli Lilly's wide moat. Lilly's patent-protected drugs carry strong pricing power, which enables the firm to generate returns on invested capital in excess of its cost of capital. Further, the patents give the company time to develop

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the next generation of drugs before generic competition arises. Lilly's diversified product portfolio means the company's top drugs represent only a moderate amount of total sales, although the top drug (in 2025), Mounjaro/Zepbound, represented 56% of total sales and is poised to grow to north of 60% of sales in 2026. We expect increasing dependence on Lilly's new GLP-1 drugs (including Mounjaro and Zepbound) will mean that close to three-fourths of the firm's sales will be from this class of drugs by 2030. However, Mounjaro and Zepbound have patent protection until at least 2036, and multiple Lilly pipeline programs are in progress behind them in obesity, obesity-related indications, and brain health.

Lilly's operating structure allows for cost-cutting after patent losses to reduce the margin pressure from lost high-margin drug sales. Overall, Lilly's established product line creates the enormous cash flows needed to fund development costs for large phase 3 clinical trials. In addition, a powerful distribution network sets up the company as a strong partner for smaller drug companies that lack Lilly's resources. Lilly's recently launched biologic drugs create higher hurdles over traditional small molecules for biosimilars to gain market share following the eventual patent expirations.

We think the firm does face environmental, social, and governance risks, particularly related to potential US drug price-related policy reform to increase access by lowering drug prices (close to 60% of total sales are generated by prescription drug sales in the US). Ongoing product governance issues, including litigation related to side effects and patents, also weigh on the company. While we have factored these threats into our analysis, we don't see them as material to our moat rating for Eli Lilly.

Fair Value and Profit Drivers Karen Andersen, CFA, Director, 30 Apr 2026

We are raising our fair value estimate to $900 per share from $870 following strong first-quarter results and management's raised outlook for full-year 2026. We see peak sales for Mounjaro/Zepbound around $80 billion in the early 2030s, and Foundayo peak sales around $40 billion by the mid-2030s.

Mounjaro and Zepbound are supporting solid margin expansion for Lilly based on operating leverage. Our assumptions for overall biopharma GLP-1 sales in 2035 reach $200 billion across diabetes, obesity, and overweight patients, with Lilly capturing $120 billion of the market. We think more than 20% of obese and overweight adults in the US will receive treatment in 10 years, with the vast majority receiving branded incretin therapies. Beyond the direct-to-patient and government payer prices negotiated in the deal with the Trump administration in November 2025, we think US prices could continue to fall as volume increases (in line with payer contracts) and new entrants launch (beginning in 2028), with average net prices falling from roughly $6,000 annually in 2025 to roughly $3,000 in self-pay and government channels in 2026.

In aggregate, the company looks well positioned to drive top-line growth. We project a 33% top-line growth rate in 2026 and a 17% growth rate in 2027, with double-digit growth through the end of the decade. We expect diabetes and weight-loss drugs Mounjaro/ Zepbound and Foundayo will stand out as

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important drivers for cash flows. Alzheimer's drug Kisunla should also ramp to meaningful sales following the drug's recent launch. Lilly has already significantly expanded operating margins, and we expect them to be in the high-40s over the next several years. We assume a 5% EBI growth rate between our 10-year explicit forecast and the perpetuity stage of our model, which accounts for Lilly's solid innovation, offset somewhat by tirzepatide generic competition during this period (2036). We estimate a weighted cost of capital for Lilly at 7.4%, in line with the peer group.

Risk and Uncertainty Karen Andersen, CFA, Director, 4 Feb 2026

We are maintaining our High Morningstar Uncertainty Rating for Lilly based on a highly variable outcome for several key drug launches. Diabetes and weight-loss drugs Mounjaro/Zepbound are developing into major new drugs. However, the cone of uncertainty for the drugs is higher, as several variables are affecting the sales potential, especially for the weight-loss indication, including level of insurance coverage and pricing. Alzheimer's drug Kisunla holds the potential to become another major new drug, but its outlook also has a wide range of outcomes, since the market potential could be very large, but the visibility on market uptake is less clear. With Kisunla and diabetes/obesity drugs representing close to three-fourths of Lilly's projected sales by the end of the next 10 years, we believe a High Uncertainty Rating is appropriate. Most big biopharma firms tend to have Medium Uncertainty Ratings. Beyond product-specific uncertainties, Lilly faces tough competition from generics manufacturers and brand-name drugmakers. The company encounters considerable regulatory and legal risks, including product approvals, patent challenges, and liability lawsuits.

Our rating is not materially affected by ESG risks, although we see access to basic services (tied to drug pricing) as the biggest ESG risk that the firm needs to manage. Lilly generates close to 60% of total sales from US prescription drug sales (slightly higher relative to peers), and recent major US obesity pricing reforms could weigh on sales and margins. Additionally, we assume a more than 50% probability of Lilly seeing future costs related to product governance ESG risks (such as off-label marketing or litigation related to side effects), and model base-case annual legal costs at 3% of non-GAAP net income—on the high end relative to peers as Lilly's product portfolio is more prone to possible litigation.

Capital Allocation Karen Andersen, CFA, Director, 30 Apr 2026

Our Capital Allocation Rating for Lilly is Exemplary. The rating reflects our belief that the company possesses a sound balance sheet, a strong record of investments, and largely fair shareholder distributions.

We believe Eli Lilly holds a sound balance sheet with low levels of risk regarding the size of the debt carried, the business cyclicality facing the firm, and the debt maturity outlook. While an argument could be made to increase the leverage of the balance sheet to be more active in investing, we believe Lilly, along with the majority of firms in the large-cap biopharma industry, should hold ample balance sheet

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strength to support opportunistic acquisitions as dynamic scientific data emerges that might require relatively quick investment action. Also, a strong balance sheet helps biopharma firms through most product litigation challenges with minimal concern from the market.

Turning to investments, we believe Lilly is operating at an exceptional level. The firm has been aggressively investing in research and development over the past several years, with R&D expenditures as a percentage of sales ranging in the low to mid-20s, above the industry average of high teens. Strong investment in creating the next generation of drugs has yielded one of the best pipelines to offset patent losses. Strong investment in innovative new drugs (largely targeting areas of diabetes, oncology, and neurology) also helps fortify the firm's wide moat and expand returns on invested capital.

Lilly has executed well on several deals. While it has shied away from megadeals, several of the more midsize acquisitions appear to be helping augment internal research and development efforts. The acquisitions of Loxo Oncology ($8 billion, bringing in Retevmo and Jaypirca) and Dermira ($1 billion, bringing in Ebglyss) appear to be good uses of capital. More recent acquisitions of Versanis (bimagrumab in muscle loss) and an inflammation pipeline at Ventyx, as well as pending deals for sleep disorder firm Centessa and CAR-T cell therapy firms Kelonia and Orna, all look reasonable and likely to keep Lilly exposed to more innovative markets.

We view Lilly's dividends and share repurchases as about right. Over the past five years, Lilly has paid out a dividend at close to 50% of normalized earnings. We expect dividends to increase at a double-digit rate over the next several years. On the share-repurchase side, Lilly has deployed a moderate level of capital, which has been a good decision, given the strong stock price performance. However, we also think it has been good for Lilly to prioritize funding research and development that has largely supported the strong stock price movement.

Dave Ricks took the helm as CEO in 2017 in a smooth transition from previous CEO John Lechleiter, who retired. Ricks brings strong experience as president of Lilly's biomedicines group, which covered Alzheimer's disease, urology, immunology, musculoskeletal disease, and pain, as well as the company's global marketing function. Ricks joined Lilly in 1996 as a business development associate.

Analyst Notes Archive

Eli Lilly: Kelonia Acquisition Latest in String of Pipeline-Building Deals Karen Andersen, CFA,Director,20 Apr 2026

Lilly announced an agreement to acquire Kelonia Therapeutics and its in vivo CAR-T pipeline and technology for $3.25 billion upfront and potential total payments up to $7 billion. The deal is expected to close in the second half of 2026. Lilly shares were flat in early trading April 20. Why it matters: Lilly's profits have soared with skyrocketing sales of diabetes and obesity therapy Mounjaro/Zepbound, and Lilly has recently invested in a series of promising technologies that could help support long-term

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growth once GLP-1 growth subsides. Kelonia's KLN-1010 is in a phase 1 trial in multiple myeloma, and this BCMA-targeting therapy could offer significant advantages over ex vivo (modified in a lab) CAR-T cell therapies hitting the same target, including Johnson & Johnson's marketed Carvykti and Gilead's soon-to-launch anito-cel. This follows several other recent Lilly deals, including another in vivo CAR-T deal ($2.4 billion for pending Orna acquisition), an inflammation pipeline from Ventyx ($1.2 billion, completed in March), and sleep disorder firm Centessa ($7.8 billion, pending). The bottom line: We're maintaining our $870 fair value estimate for wide-moat Eli Lilly, and we think shares look about fairly valued at recent prices. Recently announced deals will weigh down earnings in 2026 but could generate revenue by 2028, with Centessa's cleminorexton entering phase 3. We expect in vivo CAR-T technologies could be simpler for patients and provide safety advantages over marketed therapies, but Lilly is just one of several biopharmas investing in this technology (see 2025 acquisitions by AbbVie, Bristol, Astra, and Gilead), which is still relatively early stage. Among Lilly's new pipeline additions, most are too early to explicitly include in our model, but we do model cleminorexton with more than $2 billion in sales by 2035 in narcolepsy indications. In the long run, Centessa's pipeline could see potential in broader markets like focus and fatigue.

Eli Lilly: Approval of Foundayo Adds Another Oral GLP-1 to the US Market Karen Andersen, CFA,Director,1 Apr 2026

Eli Lilly received US Food and Drug Administration approval of Foundayo (orforglipron) on April 1 for patients with obesity/overweight, after an accelerated review using a national priority voucher. Shares rose 4% in intraday trading on the news. Why it matters: We anticipated approval early in the second quarter, and this kicks off a competition between Novo's Wegovy pill (launched in early January) and Lilly's Foundayo, particularly in the direct-to-patient channel where sales can ramp almost immediately. Lilly has priced Foundayo at $149-$399 per month depending on dosage, higher than the $149-$299 range for the Wegovy pill, and discount subscriptions announced March 31 bring Wegovy pill's price for the highest dose down even further to $249. We assume about one-third of the $180 billion global GLP-1 market in 2034 could be driven by oral drugs, led by Foundayo (nearly $40 billion by 2034) and Wegovy pill (around $10 billion in 2034 and declining due to generic competition). The bottom line: We're maintaining our $870 fair value estimate for wide-moat Eli Lilly. We think Foundayo's ease of manufacturing and established inventory will help it share the oral market in the US and dominate international launches, but Lilly shares look fairly valued. Foundayo's efficacy in the Attain-1 study—11.5% placebo-adjusted weight loss at 72 weeks—looks slightly weaker than Wegovy pill's 13.9% weight loss at 64 weeks in the Oasis 4 trial, and the semaglutide molecule's established safety profile should help Novo maintain significant US share. While Lilly is pointing to a lack of food or water restrictions as a differentiating factor from the Wegovy pill, we're not convinced that a 30-minute wait between taking the pill and eating a meal is a significant barrier to use.

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Eli Lilly Earnings: Increasing Our Fair Value to Reflect Global Demand for Oral Obesity Therapies

Karen Andersen, CFA,Director,4 Feb 2026

Eli Lilly reported increases of 43% in revenue and 42% in non-GAAP earnings per share for the fourth quarter. For 2026, management guided for $81.5 billion in revenue (25% growth) and non-GAAP EPS of $34.25 (41% growth) at the midpoint. The shares were up 10% intraday on Feb. 4.Why it matters: Lilly's strong 2025 results and management's expectations for continued double-digit growth in 2026 are a contrast with peer Novo Nordisk, which has guided to shrinking revenue this year as US price concessions are compounded by share losses, despite a still-growing incretin market. Lilly appears to be expertly navigating a potential low- to mid-teens pricing headwind this year by driving continued penetration of the obesity self-pay market in the US and internationally. We think strong revenue growth will allow Lilly to maintain operating margins despite declining prices. We're intrigued by the potential of Zepbound and next-generation therapies to complement existing treatments in areas like immunology and neurology.The bottom line: We're raising our fair value estimate for wide-moat Eli Lilly to $870 per share from $770 after slightly raising our 2026 forecast and significantly increasing our estimates for Lilly's orforglipron. Despite this increase, we think momentum has pushed Lilly shares ahead of their intrinsic value. We think Lilly's orforglipron has a clear upper hand internationally over Novo's Wegovy pill due to ease of manufacturing. We now model global peak sales of $40 billion for orforglipron (up from our prior $30 billion forecast) after seeing strong demand for Novo's Wegovy pill so far in the US self-pay market. We think orforglipron's launch--likely in the second quarter in the US and in 2027 internationally--will remain the biggest catalyst for Lilly shares, although additional readouts for triple agonist retatrutide in diabetes and obesity could further strengthen Lilly's high-efficacy positioning.

Novo Nordisk and Eli Lilly: FDA Approval of Wegovy Pill Launches New Kind of Obesity Battle Karen Andersen, CFA,Director,23 Dec 2025

Novo Nordisk received Food and Drug Administration approval for its Wegovy pill as a treatment for obesity on Dec. 22. The company plans to launch the 25-milligram semaglutide pill in the US in early January. Novo shares were up roughly 9% in early Dec. 23 trading.Why it matters: Novo has been losing market share to Eli Lilly in the injectable GLP-1 market across diabetes and obesity since 2024. With the first oral GLP-1 launch, it has a chance to seize a brief commercial advantage ahead of Lilly's potential orforglipron launch this spring. We expect the most important channel in the first few months of 2026 will be direct-to-patient sales, where Novo will sell its Wegovy pill for $150 a month at the starting dose. We expect subsequent doses in this channel at closer to $350 per month (in line with injectable Wegovy). Weight loss generated by the Wegovy pill in the Oasis 4 study looked numerically better than Lilly's orforglipron in the Attain-1 study, and Wegovy's well-known safety profile could also persuade doctors to more readily prescribe its pill version, at least initially.The bottom line: We're maintaining our

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Eli Lilly and Co LLY ★★ 22 May 2026 21:44, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
1,041.65 USD 21 May 2026	900.00 USD 1 May 2026 01:12, UTC	1.18	949.70 USD Bil 22 May 2026	Wide	Large Growth	High	Exemplary	22 May 2026 05:00, UTC

DKK 423/$66 fair value estimate for wide-moat Novo Nordisk and our $770 fair value estimate for wide-moat Eli Lilly following this news and other recent events in the obesity space. We continue to see Novo's long-term innovation as underappreciated. High-dose injectable Wegovy is poised for US and EU approval in early 2026, following a positive regulatory opinion in Europe and a US filing in November with a national priority voucher. This launch—and the recent CagriSema filing—should help Novo regain its footing against Lilly. Lilly's data for triple agonist retatrutide (Dec. 11) and orforglipron maintenance (Dec. 18) could drive us to allocate part of our tirzepatide forecast (currently peaking at $75 billion in 2031) across these molecules. However, Structure Therapeutics' Dec. 8 aleniglipron data highlights a potential competitor.

Novo Nordisk and Eli Lilly: New Obesity Drug Prices, Orforglipron Voucher, and Eloralintide Data
Karen Andersen, CFA,Director,7 Nov 2025

On Nov. 6, Novo and Lilly announced a deal with the Trump administration to lower obesity drug prices in several channels in exchange for expanded Medicare access and a tariff grace period. Both received national priority vouchers. Lilly also disclosed phase 2 data for amylin drug eloralintide.Why it matters: The dynamics of the market for diabetes and obesity therapies are changing rapidly despite only two current players, with a growing direct-to-patient channel, competition from unbranded compounded versions of Novo and Lilly drugs, and several challengers progressing in trials. We estimate that cardiometabolic peptide hormones like GLP-1, glucagon, and amylin agonists will constitute a $180 billion market by 2034, with Lilly retaining more than half the market but significant sales left for other differentiated drugs.The bottom line: We're lowering our Novo Nordisk fair value estimate to DKK 423/$66 per share from DKK 458/$71 and raising our Eli Lilly fair value estimate to $770 per share from $700. Although the scales are tipped further in Lilly's favor, we think the market still overvalues Lilly and underappreciates Novo's long-term potential. For Novo, with the Nov. 6 pricing deal, we're pulling pressure we had included in 2027 forward by one year. Positive eloralintide data led us to trim our cagrisema assumption, and Lilly's voucher for a faster orforglipron review led us to trim oral semaglutide's launch advantage. For Lilly, while we have also adjusted for earlier pricing pressure, we have significantly raised our eloralintide sales assumptions and also raised orforglipron's potential in the US.Big picture: While pricing headwinds are coming a year earlier than we had modeled for both of these wide-moat firms, we think lower prices will help control the compounded drug market. Higher prices are more likely to be preserved in the commercial insured market, which protects sales in other indications beyond obesity, like MASH and sleep apnea.

Eli Lilly Earnings: As International Tirzepatide Sales Outpaced Our Expectations, We're Raising Our FVE Karen Andersen, CFA,Director,31 Oct 2025

Eli Lilly reported 54% revenue growth in the third quarter, as its diabetes and obesity drug tirzepatide (Mounjaro/Zepbound) continues to gain share globally, and management raised top- and bottom-line

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guidance. Shares rose nearly 4% on Oct. 30. Why it matters: Lilly's strong international growth of tirzepatide exceeded our expectations. However, news of Novo Nordisk's surprise unsolicited bid for Metsera (already pending a sale to Pfizer) likely limited the rise in shares, as Metsera's pipeline in Novo's hands could create a stronger competitor. We see a $180 billion market for GLP-1 therapies by 2034 ($60 billion diabetes and $120 billion obesity/overweight). While we think Lilly will hold a more than 50% share for the foreseeable future, we see an underappreciated room for innovation from Novo and new entrants like Metsera. Lilly's US portfolio saw a high-single-digit decline in prices in the quarter, and we don't think the market is fully accounting for upcoming pricing headwinds as Lilly and Novo launch oral drugs in 2026 and as new competitors enter starting in 2028. The bottom line: We're raising our fair value estimate for wide-moat Lilly to $700 from $650 after factoring in stronger international Mounjaro sales. We agree with the market's near-term optimism surrounding Lilly's growth potential; however, given the competitive risks, we view the shares as 20% overvalued. We expect the launch of oral GLP-1 orforglipron in 2026 to create another popular treatment option for obesity and diabetes patients, and we forecast peak sales north of $20 billion. Near-term maintenance data could help extend the duration of obesity therapy and add upside to our estimates. Novo is likely to receive approval of its oral semaglutide for obesity first. Still, the extent of its lead could rest on whether Lilly receives a national priority review voucher, which could allow Lilly to launch in early 2026 as well.

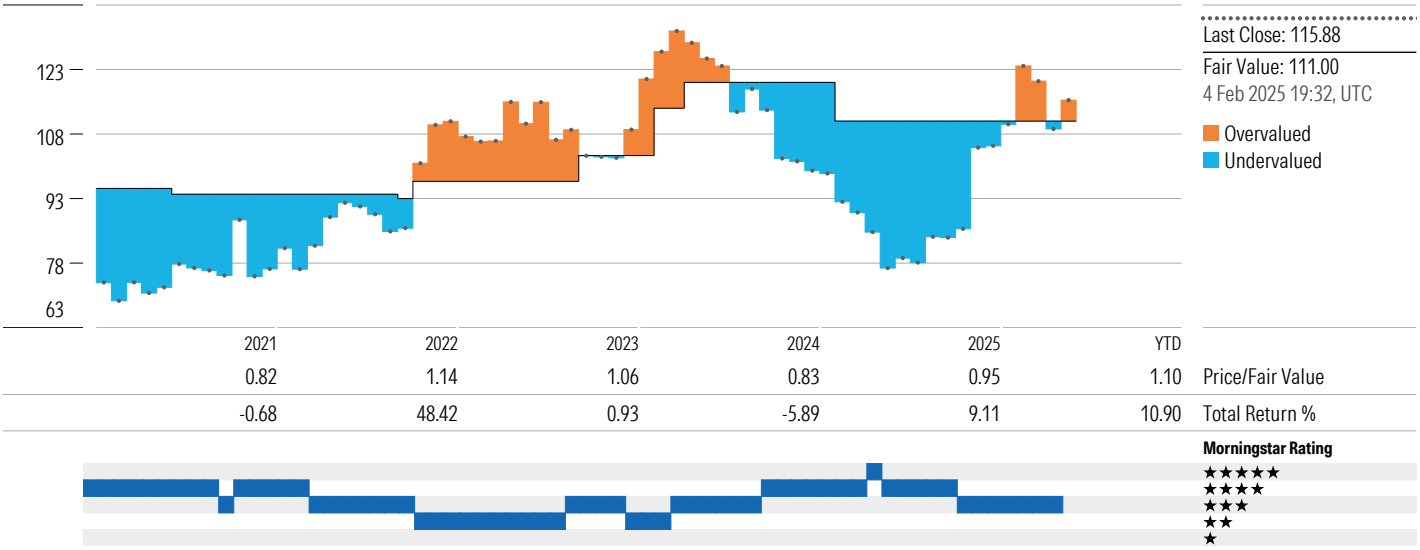
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Competitors Price vs. Fair Value

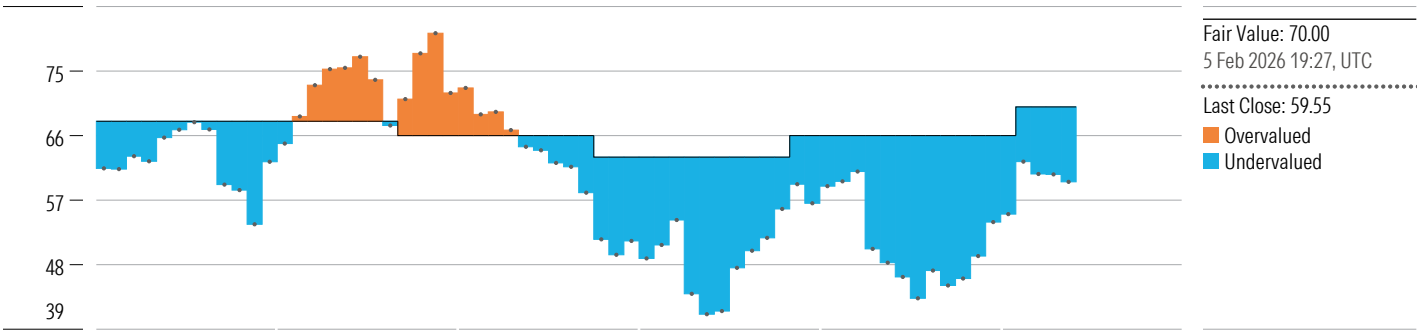
Merck & Co Inc MRK



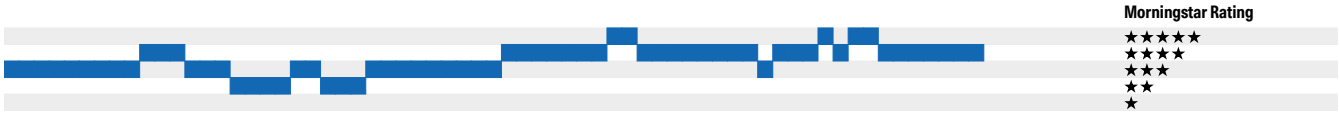
	2021	2022	2023	2024	2025	YTD
Price/Fair Value	0.82	1.14	1.06	0.83	0.95	1.10
Total Return %	-0.68	48.42	0.93	-5.89	9.11	10.90

Total Return % as of 21 May 2026. Last Close as of 21 May 2026. Fair Value as of 4 Feb 2025 19:32, UTC.

Bristol-Myers Squibb Co BMY



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	0.92	1.09	0.81	0.86	0.82	0.85
Total Return %	2.89	18.86	-25.52	14.91	-0.25	12.74



Total Return % as of 21 May 2026. Last Close as of 21 May 2026. Fair Value as of 5 Feb 2026 19:27, UTC.

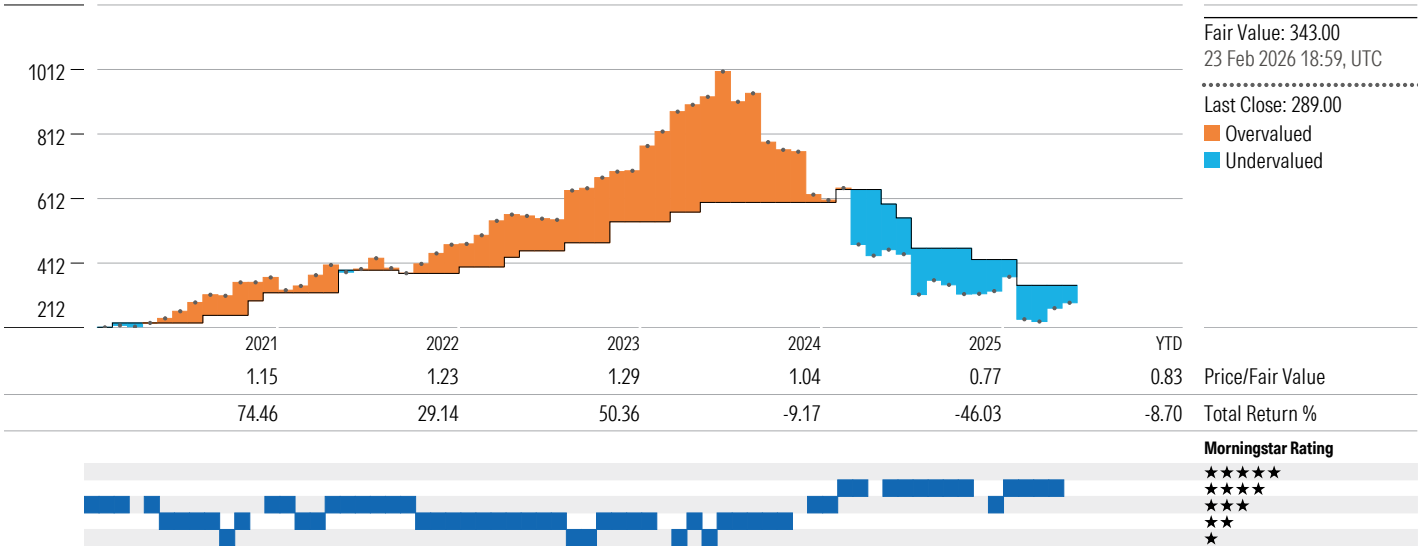
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Competitors Price vs. Fair Value

Novo Nordisk AS Class B NOVO B



Total Return % as of 22 May 2026. Last Close as of 22 May 2026. Fair Value as of 23 Feb 2026 18:59, UTC.

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Morningstar Valuation Model Summary

Financials as of 30 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Revenue (USD Mil)	34,124	45,043	65,179	86,962	101,983	113,691	125,446	136,366
Operating Income (USD Mil)	10,325	17,040	29,696	41,736	49,808	55,311	61,091	66,460
EBITDA (USD Mil)	8,081	14,447	27,728	33,674	53,818	59,509	65,529	70,861
Adjusted EBITDA (USD Mil)	8,081	14,447	27,728	33,674	53,818	59,509	65,529	70,861
Net Income (USD Mil)	5,240	10,590	20,640	24,394	39,015	43,189	47,732	51,757
Adjusted Net Income (USD Mil)	5,712	11,746	21,768	24,753	39,356	43,512	48,038	52,049
Free Cash Flow To The Firm (USD Mil)	-2,081	823	4,439	18,554	29,356	35,014	40,204	44,702
Weighted Average Diluted Shares Outstanding (Mil)	903	904	899	895	886	877	868	860
Earnings Per Share (Diluted) (USD)	5.80	11.71	22.95	27.26	44.03	49.24	54.96	60.20
Adjusted Earnings Per Share (Diluted) (USD)	6.32	12.99	24.21	27.66	44.42	49.60	55.32	60.54
Dividends Per Share (USD)	4.69	5.40	6.23	6.92	8.30	9.96	11.96	14.35

Margins & Returns as of 30 Apr 2026		Actual			Forecast					
	3 Year Avg	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year Avg**
Operating Margin %	28.9	30.3	37.8	45.6	48.0	48.8	48.7	48.7	48.7	45.8
EBITDA Margin %	—	23.7	32.1	42.5	38.7	52.8	52.3	52.2	52.0	—
Adjusted EBITDA Margin %	—	23.7	32.1	42.5	38.7	52.8	52.3	52.2	52.0	49.6
Net Margin %	23.5	15.4	23.5	31.7	28.1	38.3	38.0	38.1	38.0	36.1
Adjusted Net Margin %	25.4	16.7	26.1	33.4	28.5	38.6	38.3	38.3	38.2	36.4
Free Cash Flow To The Firm Margin %	0.9	-6.1	1.8	6.8	21.3	28.8	30.8	32.1	32.8	29.2

Growth & Ratios as of 30 Apr 2026		Actual			Forecast					
	3 Year CAGR	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year CAGR**
Revenue Growth %	31.7	19.6	32.0	44.7	33.4	17.3	11.5	10.3	8.7	15.9
Operating Income Growth %	53.1	24.7	65.0	74.3	40.5	19.3	11.1	10.5	8.8	17.5
EBITDA Growth %	54.9	-6.0	78.8	91.9	21.5	59.8	10.6	10.1	8.1	22.0
Adjusted EBITDA Growth %	47.7	-6.0	78.8	91.9	21.5	59.8	10.6	10.1	8.1	20.6
Earnings Per Share Growth %	49.3	-16.0	101.9	95.9	18.8	61.6	11.8	11.6	9.5	21.3
Adjusted Earnings Per Share Growth %	49.3	-20.4	105.5	86.3	14.3	60.6	11.7	11.5	9.4	21.3

Valuation as of 30 Apr 2026	Actual			Forecast				
	2023	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Price/Earning	92.2	59.4	44.4	38.5	24.0	21.5	19.3	17.6
Price/Sales	16.2	15.4	14.8	10.9	9.3	8.4	7.6	7.0
Price/Book	48.9	48.9	36.4	23.3	14.7	10.4	7.8	6.2
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	70.7	49.9	35.9	29.3	18.4	16.6	15.1	13.9
EV/EBIT	55.3	42.3	33.5	23.7	19.8	17.9	16.2	14.9
Dividend Yield %	0.8	0.7	0.6	0.7	0.8	0.9	1.1	1.4
Dividend Payout %	74.2	41.6	25.7	25.0	18.7	20.1	21.6	23.7
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 30 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
ROA %	8.2	13.5	18.4	19.0	25.7	24.4	23.3	22.1
ROE %	48.2	74.2	77.8	59.7	60.9	48.1	40.5	35.0
ROIC %	22.7	28.6	36.7	41.5	42.3	40.5	39.5	38.4

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	4.4	4.6	4.2	4.8	4.4	4.0	3.7	3.4
Assets/Equity	5.9	5.5	4.2	3.1	2.4	2.0	1.7	1.6
Net Debt/EBITDA	2.8	2.1	1.3	0.8	0.3	0.0	-0.3	-0.6
Total Debt/EBITDA	3.1	2.3	1.5	1.3	0.8	0.7	0.6	0.5
EBITDA/ Net Interest Expense	—	—	—	50.2	74.0	96.4	126.7	173.2

Forecast Revisions as of 30 Apr 2026	2026		2027		2028	
Prior data as of 16 Apr 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	900.00	874.31	—	—	—	—
Revenue (USD Mil)	86,962	82,492	101,983	98,692	113,691	110,893
Operating Income (USD Mil)	41,736	38,331	49,808	45,720	55,311	51,168
EBITDA (USD Mil)	33,674	32,769	53,818	49,615	59,509	55,267
Net Income (USD Mil)	24,753	24,124	39,356	36,105	43,512	40,228
Earnings Per Share (Diluted) (USD)	27.26	26.58	44.03	40.41	49.24	45.54
Adjusted Earnings Per Share (Diluted) (USD)	27.66	26.98	44.42	40.79	49.60	45.91
Dividends Per Share (USD)	6.92	6.92	8.30	8.30	9.96	9.96

Key Valuation Drivers as of 30 Apr 2026

Cost of Equity %	7.5
Pre-Tax Cost of Debt %	5.3
Weighted Average Cost of Capital %	7.4
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	5.0
Stage II Investment Rate %	20.0
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 30 Apr 2026

	USD Mil
Present Value Stage I	277,362
Present Value Stage II	210,229
Present Value Stage III	339,018
Total Firm Value	**826,608**
Cash and Equivalents	7,268
Debt	42,503
Other Adjustments	-3,553
Equity Value	**791,938**
Projected Diluted Shares	895
Fair Value per Share (USD)	**900.00**

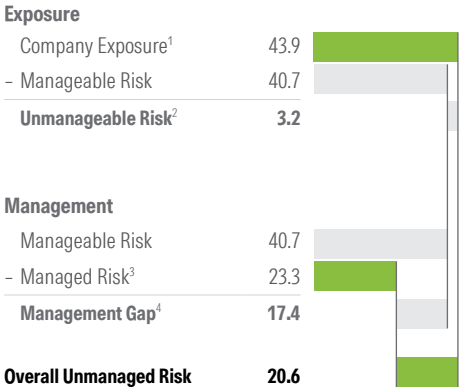
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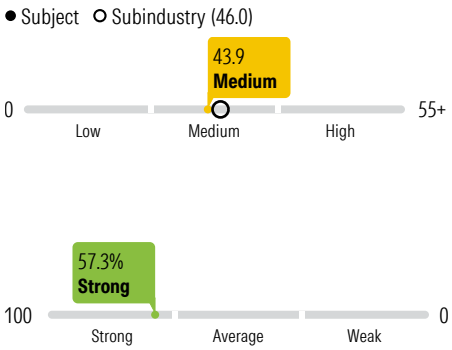
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1,041.65 USD 21 May 2026	900.00 USD 1 May 2026 01:12, UTC	1.18	949.70 USD Bil 22 May 2026	Wide	Large Growth	High	Exemplary	 22 May 2026 05:00, UTC

ESG Risk Rating Breakdown

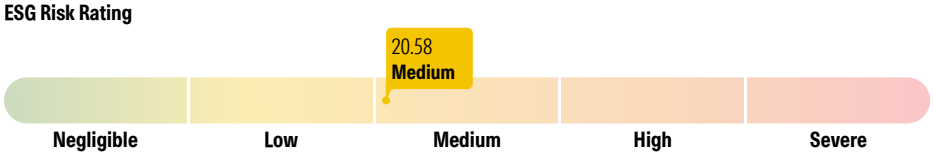




- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 57.3% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of May 22, 2026. Highest Controversy Level is as of May 08, 2026. Sustainalytics Subindustry: Pharmaceuticals. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 22 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Eli Lilly and Co	43.9 | Medium	0	55+	57.3 | Strong	100	0	20.6 | Medium	0	40+
Bristol-Myers Squibb Co	39.6 | Medium	0	55+	66.3 | Strong	100	0	14.6 | Low	0	40+
Merck & Co Inc	46.4 | Medium	0	55+	69.1 | Strong	100	0	16.7 | Low	0	40+
Novo Nordisk AS	46.8 | Medium	0	55+	64.5 | Strong	100	0	18.7 | Low	0	40+
Crinetics Pharmaceuticals Inc	45.0 | Medium	0	55+	17.8 | Weak	100	0	37.5 | High	0	40+

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Appendix

Historical Morningstar Rating

Eli Lilly and Co LLY 22 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Merck & Co Inc MRK 22 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Bristol-Myers Squibb Co BMY 22 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Novo Nordisk AS Class B NOVO B 21 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	★★	★	★★	★★	★★	★★	★★★	—	★★★	★★★	★★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

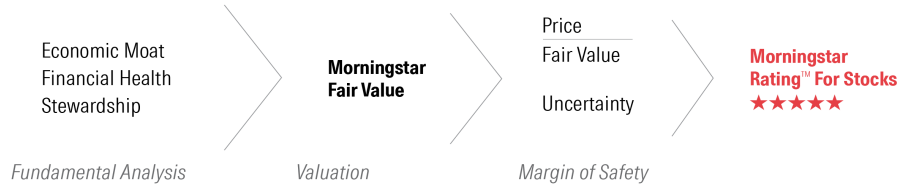
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

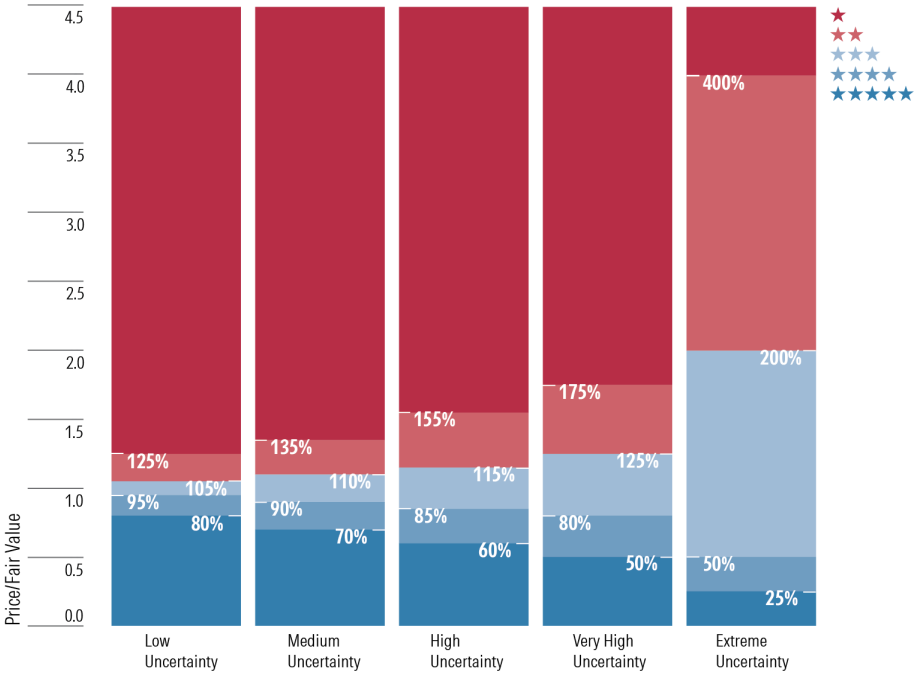
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

Risk Warning

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